

26SMCV01371 26SMCV01371

County: los-angeles

Division: Civil Law and Motion

Department: 207

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Case Number: 26SMCV01371 Hearing Date: June 25, 2026 Dept: 207

TENTATIVE

RULING – NO. 1

DEPARTMENT

207

HEARING DATE

June

25, 2026

CASE NUMBER

26SMCV01371

APPLICATIONS

Verified

Applications to Be Admitted Pro Hac Vice

MOVING PARTIES

(1)

Joseph A. Cialone III

(2)

Matthew B. Henneman

OPPOSING PARTY

none

Joseph A. Cialone III and Matthew B. Henneman

apply separately to be admitted pro hac vice as counsel for Defendants Matthew

Nussbaum and Ameriana Partners, LLC. The

applications are unopposed.

ANALYSIS

California Rules of Court rule 9.40

provides that an attorney in good standing in another jurisdiction may apply to

appear as counsel pro hac vice in the State of California by filing a verified

application together with proof of service by mail of a copy of the application

and notice of hearing on all parties who have appeared in the case and on the

State Bar of California at its San Francisco office, with payment of the

application fee, so long as that attorney is not a resident of the State of

California, and is not regularly engaged in substantial business, professional,

or other activities in the State of California. (Cal. Rules of Court, rule

9.40.)

The application must state: (1) the applicant's residence and office addresses; (2) the courts to which the applicant has been admitted to practice and the dates of admission; (3) that the applicant is a member of good standing in those courts; (4) that the applicant is not currently suspended or disbarred in any court; (5) the title of each court and cause in which the applicant has filed an application to appear as counsel pro hac vice in this state in the preceding two years, the date of each application, and whether or not it was granted; and (6) the name, address, and telephone number of the active member of the State Bar of California who is attorney of record in the local action.

(Cal. Rules of Court, rule 9.40(d).)

The Verified Applications provide all the required information. Further, the Declarations of Patrick B. Nichols indicate the requisite application fees were paid.

The proofs of service indicate counsel for Plaintiff were served electronically and the State Bar was served by mail at its San Francisco office, consistent with California Rules of Court, Rule 9.40(c), which provides:

"A person desiring to appear as counsel pro hac vice in a superior court must file with the court a verified application together with proof of service by mail in accordance with Code of Civil Procedure section 1013a of a copy of

the application and of the notice of hearing of the application on all parties who have appeared in the cause and on the State Bar of California at its San Francisco office. The notice of hearing must be given at the time prescribed in Code of Civil Procedure section 1005 unless the court has prescribed a shorter period." (Cal. Rules of Court, rule 9.40(c)(1).)

CONCLUSION AND ORDER

Finding Counsels have satisfied all procedural and substantive requirements, the Court grants Counsels unopposed verified applications to appear pro hac vice in this matter.

Further, the Court will enter the proposed Orders lodged on May 15, 2026 in conformity with the ruling.

Counsels shall provide notice of the Court's Orders and file the notice with a proof of service forthwith.

DATED:

June 25, 2026 _____/s/ _____

Michael E. Whitaker

Judge

of the Superior Court

TENTATIVE RULING – NO. 2

DEPARTMENT

207

HEARING DATE

June 25, 2026

CASE NUMBER

26SMCV01371

MOTION

Demurrer to Complaint

MOVING PARTIES

Defendants Matthew Nussbaum and Americana Partners, LLC

OPPOSING PARTY

Plaintiff L&S Advisors, Inc.

MOTION

This case arises from allegations that Defendant Nussbaum, Plaintiff's

former employee, misappropriated Plaintiff's confidential, proprietary, and

trade secret information and transferred client accounts to his new employer,

Defendant Americana.

On March 16, 2026, Plaintiff L&S Advisors, Inc. ("Plaintiff")

filed suit against Defendants Matthew Nussbaum ("Nussbaum") and Americana

Partners, LLC (“Americana”) alleging two causes of action for (1) breach of contract and (2) misappropriation of trade secrets.

Defendants now demurrer to both causes of action on the grounds they fail to state facts sufficient to constitute a cause of action and uncertainty, pursuant to Code of Civil Procedure section 430.10, subdivisions (e) and (f), respectively. Plaintiff opposes the demurrer and Defendants reply.

ANALYSIS

I.

DEMURRER

“It is black letter law that

a demurrer tests the legal sufficiency of the allegations in a complaint.”

(Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In

testing the sufficiency of a cause of action, a court accepts “[a]s true all

material facts properly pled and matters which may be judicially noticed but

disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a

reasonable interpretation, reading it as a whole and its parts in their

context.” (290 Division (EAT), LLC v.

City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned

up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280

["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a

demurrer, a court must "liberally construe" the allegations of the complaint

"with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that

the reviewing court draws inferences favorable to the plaintiff, not the

defendant." (Perez v. Golden Empire Transit Dist. (2012) 209

Cal.App.4th 1228, 1238.)

In summary, "[d]etermining

whether the complaint is sufficient as against the demurrer on the ground that

it does not state facts sufficient to constitute a cause of action, the rule is

that if on consideration of all the facts stated it appears the plaintiff is

entitled to any relief at the hands of the court against the defendants the

complaint will be held good although the facts may not be clearly stated, or

may be intermingled with a statement of other facts irrelevant to the cause of

action shown, or although the plaintiff may demand relief to which he is not

entitled under the facts alleged." (Gressley

v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

UNCERTAINTY

“[D]emurrers for uncertainty

are disfavored.” (Lickiss v.

Financial Industry Regulatory Authority (2012) 208 Cal.App.4th 1125,

1135.) “A demurrer for uncertainty will

be sustained only where the pleading is so bad that the responding party cannot

reasonably respond - i.e., [a party] cannot reasonably determine what

issues must be admitted or denied, or what counts or claims are directed

against [the party].” (Weil & Brown,

Cal. Practice Guide: Civil Procedure

Before Trial (The Rutter Group 2025) ¶ 7:85, p. 44, emphasis in original.)

As such, where a demurrer is

made upon the ground of uncertainty, the demurrer must distinctly specify

exactly how or why the pleading is uncertain, and where such uncertainty

appears by reference to page and line numbers.

(See Fenton v. Groveland Comm. Services Dist. (1982) 135

Cal.App.3d 797, 809 [“Generally, the failure to specify the uncertain aspects

of a complaint will defeat a demurrer based on the grounds of uncertainty”].)

Although Defendants raise the

demurrer in part on the ground of uncertainty, Defendants do not identify any

portions of the Complaint that are so faulty that Defendants cannot determine

what issues must be admitted or denied, or what claims are directed against them.

Therefore, the Court declines

to sustain Defendants' demurrer to the Complaint on the grounds of

uncertainty.

B.

FAILURE TO STATE A CAUSE OF ACTION

i.

First Cause

of Action – Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff

must prove (1) the contract, (2) the plaintiff's performance of the contract or

excuse for nonperformance, (3) the defendant's breach, and (4) the resulting

damage to the plaintiff." (Richman v.

Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Here, Plaintiff alleges:

5. In the course of its business, L&S

gathers and maintains confidential and proprietary information concerning its

clients, including, among other things, client identities, contact information,

and communication preferences; identities of other interested professionals who

work with the clients; client investment profiles, including, investable

assets, investment goals, risk preferences and time horizons; L&S's investment strategies for clients; specific services provided by L&S to clients; and fees paid by the clients to L&S (collectively, the "Client Information").

6. L&S has spent a substantial amount of time, effort and money to compile the Client Information. Any competitor would have to spend considerable time, effort and money to recreate such Client Information.

7. L&S's Client Information has significant economic value in that it constitutes information not generally known within the investment business and not part of the public record.

8. L&S has made reasonable efforts to preserve the secrecy of the Client Information. Among other things: (a) hard-copy client files are stored in locked cabinetry, and only a few persons are given access; (b) electronic client records are password protected; (c) L&S's office is locked 24 hours a day, and employees must use a key to gain entrance and guests must be granted access by employees; (d) after-hours access is limited and monitored and employees must use a key card to gain entrance; (e) L&S shreds discarded Client Information and employees are not permitted to leave out documents marked for shredding at the end of the day; (f)

L&S's client contracts provide that that it will keep all client information confidential; (g) the SEC's regulations require Registered Investment Advisors to protect the confidentiality of client information and L&S has instituted numerous policies and procedures to ensure compliance with such regulations; (h) every email from an L&S employee states that the information contained therein is confidential; and (i) employees sign Confidentiality and Non-Disclosure Agreements ("L&S NDA") prohibiting the use or disclosure of Client Information except as necessary for the conduct of L&S's business.

9. In addition, L&S's Code of Ethics and Compliance Policies & Procedures Manual ("Policy Manual"), provides, among other things, that: (a) employees must maintain the safety and confidentiality of Client Information and must be familiar with and comply with L&S's privacy policy; (b) all records, including computer files, on L&S's equipment or in its offices are L&S's property; (c) employees are not permitted to upload documents or software off the L&S network to the internet (including sending such documents or software by e-mail) except if required by the employee's job; and (d) employees are prohibited from using L&S's property for their personal benefit or the benefit of another person or entity. L&S's employees are required to sign an acknowledgment certifying their

adherence to the Policy Manual on a yearly basis.

10. Moreover, L&S's Employee Handbook

provides, in pertinent part:

Confidential Information

Each employee is responsible for safeguarding

the confidential information obtained during employment.

In the course of your work, you may have

access to trade secrets or similarly protected proprietary or confidential

information regarding L&S Advisors, Inc.'s business and/or clients (such as

client name, contact information, billing information, net worth, status as an

accredited investor, risk aversion, investing history, spending habits, capital

needs, retirement goals, the terms of any advisory agreement between a client

and L&S Advisors, Inc, the service cost burden with respect to any client,

the amount of any remuneration paid by a client to L&S Advisors, Inc., the

identity of and/or location of any brokerage accounts and/or bank accounts

maintained by a client and any and all information prepared by the client and

provided to L&S Advisors, Inc., such as, but not limited to, estate

planning documents, tax returns, financial statements, investment

questionnaires and/or other personal information). You have a responsibility to

prevent revealing or divulging any such information unless it is necessary for

you to do so in the performance of your duties or as required by law.

Access to, or disclosure of, confidential

information should be on a "need-to-know" basis and must be authorized by your

supervisor. Any breach of this policy will not be tolerated and legal action

may be taken by the Company. (emphasis in original).

L&S's employees are required to sign a

certification acknowledging their receipt of the Employee Handbook and

agreement to familiarize themselves with, and follow, the policies and

procedures set forth therein.

11. L&S hired Nussbaum on April 3, 2017.

At or about the time, Nussbaum signed a certifications acknowledging his

receipt of the Policy Manual and his agreement to familiarize himself with, and

follow, the policies and procedures set forth therein. While he was employed at

L&S, Nussbaum signed similar acknowledgments on approximately a yearly

basis. After his employment began, Nussbaum also signed a certification

acknowledging his receipt of the Employee Manual and his agreement to

familiarize himself with, and follow, the policies and procedures set forth

therein.

12. On August 3, 2017, Nussbaum signed the

L&S NDA, a true and correct copy of which is attached hereto as Exhibit A.

Paragraph 4 of the NDA provides in pertinent part:

(a) The Recipient understands, acknowledges

and agrees that during the course of employment by the Company, the Recipient

will have access to and learn about confidential, secret and proprietary

documents, materials and other information, in tangible and intangible form, of

and relating to the Company, its Business and the clients... of the Company

(collectively, the "Proprietary Information"). The Recipient further

understands, acknowledges and agrees that the Proprietary Information and the

Company's ability to reserve it for the exclusive knowledge and use of the

Company is of great competitive importance and commercial value to the Company,

and that improper use or disclosure of the Proprietary Information by the

Recipient might cause the Company to incur financial costs, loss of business

advantage, liability under confidentiality agreements with third parties, civil

damages, regulatory fines and/or sanctions and criminal penalties.

(b) For purposes of this Agreement,

Proprietary Information includes, but is not limited to, all information not

generally known to the public, in spoken, printed, electronic or any other form

or medium, relating directly or indirectly to (i) Client Information (as such

information is defined below),.....

In turn, Paragraph 10(a) of the Agreement

defines Client Information as follows:

[A]ny and all client files maintained by the

Company, including but not limited to, name, contact information, billing

information, net worth, status as an accredited investor, risk aversion,

investing history, spending habits, capital needs, retirement goals, the terms

of any advisory agreement between a Client and the Company, the service cost

burden with respect to any Client, the amount of any remuneration paid by a

Client to the Company, the identity of and/or location of any brokerage

accounts and/or bank accounts maintained by a Client and any and all

information prepared by the Client and provided to the Company, such as, but

not limited to, estate planning documents, tax returns, financial statements,

investment questionnaires and/or other personal information.

13. Paragraph 5(a) of the NDA provides:

The Recipient represents, warrants and

covenants to the Company that:

(i) the Recipient will use the Proprietary

Information solely for the purposes authorized in writing by the Company and

for no other purpose whatsoever (other than for the limited purpose of

fulfilling the Recipient's obligations and duties under the Employment

Agreement so long as such purposes advance the best interests of the Company

and its Business strictly in accordance with the terms of this Agreement).

(ii) The Recipient shall not, at any time or

in any manner or fashion, either directly or indirectly without the prior

written consent of Company, which consent may be delayed and/or withheld in the

sole and absolute discretion of the Company (i) use, derive a benefit (whether

pecuniary or otherwise) from or otherwise claim any proprietary interest in the

Proprietary Information and/or (ii) divulge, disclose or communicate to any

third party or entity whomsoever any of the Proprietary Information;

(iii) the Recipient will not make or cause to

be made any copies, pictures, duplicates, facsimiles or other reproductions or

recordings of any Proprietary Information and or other information designated

as confidential;

(iv) the Recipient will not remove any

Proprietary Information from the Company's premises and/or properties

(including, but not limited to, office files, computers, mobile devices,

servers and/or databases);

(v) the Recipient shall take all reasonable

action which shall be necessary or appropriate to prevent the unauthorized use

and disclosure of the Proprietary Information, and to protect the interests of

the Company in and to the Proprietary Information;

(vi) the Recipient shall immediately notify

the Company in writing upon the discovery of any loss or unauthorized

disclosure of the Proprietary Information; and

(vii) the Recipient shall show a complete

copy of this Agreement to any prospective or actual future employer of the

Recipient.

14. In addition, Paragraph 8 of the NDA

provides in relevant part that:

The Recipient represents, warrants and

covenants to the Company that (i) within three (3) days from a demand thereof

by the Company and/or (ii) concurrently with the termination and or expiration

of the Employment Agreement, whichever should first occur, the Recipient shall

(a) return to the Company (without retaining any copies, notes, summaries or

extracts thereof) any and all Proprietary Information, along with all other

documents, memoranda, notes and all other writings whatsoever prepared by

Recipient based on arising out of the Proprietary Information, in the

possession of the Recipient or to which the Recipient has access and/or control

of same and (b) destroy/delete any and all such Proprietary Information that

may, as a result of and/or related to the direct and/or indirect actions and/or

directions of the Recipient, exist on any electronic device that is not owned

and or controlled by the Company.

15. Since on or about the date that he

started at L&S, Nussbaum has known that the Client Information is L&S's

confidential, proprietary and trade secret information, and that he is not

permitted to use it or disclose it for any purpose other than L&S's

business.

16. L&S hired Nussbaum as an

Analyst/Relationship Manager. In August 2018, after Nussbaum passed the CFA

Level III exam, his title was changed to Senior Analyst/Relationship Manager.

In February 2021, his title was changed to Portfolio Manager & Senior

Research Analyst.

17. When L&S hired Nussbaum, he had

little experience as an investment advisor, and no clients or business of his

own. L&S hired Nussbaum to help L&S's employees Ken Malamed and Sandy

Malamed service their sizeable book of business. Sandy Malamed and Ken Malamed

passed away in March 2024 and October 2024, respectively. From the time he

started at L&S in April 2017, to October 2024, Nussbaum's major

responsibility was to service, along with other members of L&S's staff, the

Malameds's clients. Nussbaum was also tasked with learning Ken Malamed's style

of managing money and was on the L&S team, which included Ken Malamed,

which selected investments for the Malameds's clients.

18. After Ken Malamed passed away in October

2024, Nussbaum's title was changed to Portfolio Manager/Director of Research.

Nussbaum held that title when he resigned on March 5, 2026. After Ken Malamed's

death, Nussbaum became the lead relationship manager for the Malameds's

clients. However, after Ken Malamed's death, Nussbaum was still just one member

of the L&S team which made the investment decisions.

19. Throughout his tenure at L&S,

Nussbaum spent the vast majority of his time servicing the Malameds's clients.

As noted above, Nussbaum did not have any clients of his own when he came to

L&S. While at L&S, Nussbaum, in collaboration with other members of

L&S 's staff, and using support and marketing paid for by L&S,

originated a small amount of new business. Nussbaum was always part of a larger

team at L&S. In the almost nine (9) years that Nussbaum worked at L&S,

he did not generate a single client on his own, nor did he maintain a single

client on his own.

20. Without advance notice, Nussbaum resigned

from L&S on March 5, 2026. On information and belief, Nussbaum began his

employment with Americana as a Director and Private Wealth Advisor for

Americana's Beverly Hills office on March 5, 2026.

21. On the same date that Nussbaum resigned

from L&S, another L&S employee, Jorge Ambriz also resigned from L&S

without warning. Nussbaum worked together with Ambriz at L&S. On

information and belief, Ambriz also went to work for Americana in its Beverly

Hills office. On information and belief, Nussbaum solicited Ambriz to work for

Americana.

22. In his resignation letter dated March 5,

2026, Nussbaum claimed that he had “performed a good faith search for any

proprietary and confidential information and property belonging to L&S,”

had “returned or destroyed such property” and would continue to cooperate with

L&S to ensure compliance with SEC Regulation S-P and the L&S NDA.

23. In response to Nussbaum’s resignation

letter, on March 5, 2026, L&S’s Chief Compliance Officer, Jason Scott,

wrote Nussbaum to remind him of his duties under, among other things, the

L&S NDA. The letter states in pertinent part:

Under Company Policy and the Confidentiality

and Non-Disclosure Agreement you signed with the Company, you are obligated to

maintain the confidentiality of the Company’s proprietary and/or confidential

information, including but not limited to, the Company’s business plans, sales

and pricing information, market studies and analysis, asset information,

referral sources, Client Information (as such term is defined below) and trade secrets (collectively, the "Confidential Information"). In addition, the California Uniform Trade Secrets Act provides for exemplary damages for the willful and malicious misappropriation of the Company's trade secrets. For purposes of this letter, Client Information means any and all client files maintained by the Company, including but not limited to, billing information, net worth, status as an accredited investor, risk aversion, investing history, spending habits, capital needs, retirement goals, the terms of any advisory agreement between the client and the Company, the service cost burden with respect to any client, the amount of any remuneration paid by a client to the Company, the identity of and/or location of any brokerage accounts and/or bank accounts maintained by a client and any and all information prepared by the client and provided to the Company, such as, but not limited to, estate planning documents, tax returns, financial statements, investment questionnaires and/or other personal information.

The Company hereby demands that you immediately return to the Company (without retaining any copies, notes, summaries or extracts thereof) any and all Confidential Information in your possession and/or control and/or any and all other documents, memoranda, notes and all other writings whatsoever prepared by you based on or arising out of the Confidential Information. Furthermore, and without limiting the generality

of the foregoing, the Company hereby demands that you (i) cease and refrain from any effort and/or attempt to log into and access any Company computers, databases, servers and/or email exchanges, regardless of where the same is located and (ii) delete any and all email messages sent from and/or received by the Company email that may exist on any electronic device that is not owned and/or controlled by the Company.

Any violation and/or breach of the foregoing could irreparably injure the Company and expose you to liability. As such, should the Company discover that you are in violation of the foregoing for any reason including but not limited to improperly and illegally soliciting clients of the Company using Client Information, the Company intends to immediately seek all available remedies available to the Company under law and in equity.

24. After Nussbaum's resignation, L&S

learned that while he was employed by L&S, Nussbaum had improperly emailed to his personal Gmail email address the entire Q3 2025 Billing Detail for 273 accounts (\$302M in assets under management ("AUM")) that he was working on as part of his responsibilities. The files contain critical, confidential, proprietary and trade secret Client Information, including the client names, account names, associated household names, investment strategies, custodian information, custodial account numbers, fee percentage rate, actual fees,

starting dates, account type, tax status and market values among numerous other confidential items for all 273 accounts. The files also contain comparative data for quarter over quarter comparisons for these accounts. Also included in the files that Nussbaum improperly took is the L&S Master Account List, which contains a list of all 1505 accounts (approximately \$1B in AUM) of the firm as of the date of the report. This file contains critical, confidential, proprietary and trade secret Client Information, including client names, account names, associated household names, investment strategies, custodian information, custodial account numbers, starting dates, account type, tax status and market values among numerous other confidential items. Nussbaum had no valid purpose for emailing this data to his personal Gmail email address.

25. On information and belief, Nussbaum has

downloaded, copied and retained other Client Information.

26. Nussbaum has not returned the L&S

Client Information that he has improperly and secretly taken and retained.

27. On information and belief, at least as

soon as he resigned from L&S, Nussbaum has illegally used L&S's

confidential, proprietary and trade secret Client Information to solicit

L&S's customers to transfer their accounts to Americana. Nussbaum solicited

L&S's clients using the Client Information in the course and scope of his

employment at Americana. Nussbaum knew or had reason to know that his knowledge of the Client Information was acquired under circumstances giving rise to a duty to maintain the secrecy of that information and to limit its use and disclosure to L&S's business.

28. On information and belief, Nussbaum

illegally disclosed the Client Information to Americana and Americana has used that information to improperly solicit L&S's customers to transfer their accounts to Americana. On information and belief, Americana did this even though it knew or should have known that Nussbaum owed a duty to L&S to maintain the secrecy of that information or that Nussbaum acquired the information through improper means.

[...]

30. On information and belief, Nussbaum

breached the NDA in at least the following respects: (a) he downloaded, converted and retained the Client Information for his own benefit and for purposes unrelated to L&S's business; (b) he failed to return and delete the Client Information in his possession when he left L&S; (c) he used the Client Information to solicit L&S's clients to transfer their business to Americana; and (d) he disclosed the Client Information to Americana.

31. L&S has performed all of its

obligations, if, any, under the L&S NDA, except to the extent that any such obligations were excused by Nussbaum's breaches.

32. As a direct result of Nussbaum's

breaches, L&S has suffered damages in an amount to be proven at trial,

which L&S believes to be in excess of \$5 million.

33. Paragraph 12 (b) provides that:

In the event of a dispute with reference to

this Agreement, the prevailing Party...shall be entitled to attorneys' fees and

costs incurred in resolving such dispute at all levels, including appeals.

(Complaint

¶¶ 5-33.)

The Court determines that Plaintiff alleges

(1) the NDA agreement (Complaint ¶¶ 12-14); (2) Plaintiff's performance and/or

excuse from performance under the agreement (Complaint ¶ 31); (3) Nussbaum's

breach (Complaint ¶ 30); and (4) Damages (Complaint ¶ 32.)

Defendants demur, however, on the

grounds that the NDA is void as a de facto illegal noncompete agreement under

Business & Professions Code section 16600.

Business and Professions Code

section 16600 provides: "Except as provided in this chapter, every contract by

which anyone is restrained from engaging in a lawful profession, trade, or business of any kind is to that extent void.”

(Bus. & Prof. Code, § 16600, subd. (a).)

Specifically, Defendants argue that

the vague reference to confidential or proprietary information is void because it restrains fair competition. In

support, Defendants cite to *Brown v. TGS Management Company* (2020) 57

Cal.App.5th 303, 316 (hereafter *Brown*), where the agreement’s

restriction on using or disclosing “confidential information” operated as a de facto noncompete clause in violation of Section 16600.

But in *Brown* the confidentiality

provision restrained the use of “information, in whatever form, used or usable in, or originated, developed or acquired for use in, or about or relating to [...]

analyzing, executing, trading and/or hedging in securities and financial

instruments and derivatives thereon, securities-related research, and trade

processing and related administration.”

(*Brown*, supra. 57 Cal.App.5th at p. 316.) Thus, it is clear that the provision operated

as a de facto illegal noncompete clause, restraining the employee from analyzing,

executing, trading, or hedging in securities, financial instruments, or

derivatives, from conducting securities-related research.

Defendants also cite to Dowell v. Biosense Webster, Inc. (2009)

179 Cal.App.4th 564, 578-579 (hereafter Dowell), which held: “the clause at issue here goes well beyond

prohibiting active solicitation by prohibiting departing employees from selling

or rendering any services to Biosense customers or directly or indirectly

assisting others to do so—even if it is the customer who solicits the former

employee[.]”)

By contrast, here, the

NDA restrains copying, taking, disclosing, or personally benefiting from the

use of Plaintiff's “Client Information” which is defined as follows:

Any and all client files maintained by the

Company, including but not limited to, name, contact information, billing

information, net worth, status as an accredited investor, risk aversion,

investing history, spending habits, capital needs, retirement goals, the terms

of any advisory agreement between a Client and the Company, the service cost

burden with respect to any Client, the amount of any remuneration paid by a

Client to the Company, the identity of and/or location of any brokerage

accounts and/or bank accounts maintained by a Client and any and all

information prepared by the Client and provided to the Company, such as, but

not limited to, estate planning documents, tax returns, financial statements,

investment questionnaires and/or other personal information.

(Complaint ¶ 13.) Thus, unlike the confidentiality clause in Brown which effectively restrained the employee from doing any and all work in the same field, or Dowell, which prohibited the employee from ever working directly or indirectly with Biosense's clients again, the NDA at issue here restrains Defendants only from misappropriating Plaintiff's client files for their own personal gain. That does not restrict Defendants from working in the same field, or even working with some of Plaintiff's clients, provided that Defendants do not misappropriate Plaintiff's trade secrets or confidential client data to do so.

Defendants argue that paragraph 4 of the NDA agreement attached to the Complaint also prevents the use of "business plans, sales and pricing information, market studies and analysis, asset information, referral sources, inventions, discoveries, concepts, formulae, know-how and/or ideas (whether or not patented or copyrighted, and whether or not patentable or copyrightable) relating to the Business of the Company" and "all other information, documents, items or communications disclosed by the Company to the Recipient (or made available by the Company to the Recipient) that qualifies for protection under the trade secret laws of the State of California."

The Court notes that it excludes

information that (1) subsequently becomes generally available to the public (other than through a breach of the NDA), (2) was within Defendants' legal and rightful possession prior to it being furnished by the Company, (3) becomes available on a non-confidential basis from a source other than the company, or (4) was independently developed by Defendants without reference to the Proprietary Information provided by the Company.

Thus, in context, it is clear that the NDA only restrains the taking or use of Plaintiff's files and not any information contained within those files that might be otherwise publicly available or knowable.

Further, even if the additional categories of information were impermissibly broad and vague, Business and Professions Code section 16600 only voids contract to the extent that they unlawfully restrain the employee after separation. As such, the Court could disregard the void provisions while enforcing the lawful ones.

Yet, Defendants argue that the Court could not reform or reconstruct the agreement. In support they cite to *Dowell* and *Kolani v. Gluska* (1998) 64 Cal.App.4th 402, 407. But in *Dowell*, the clause prevented the employee from working with any of Biosense's clients, regardless of whether those clients independently sought the former employee out. Therefore the trial court in that case could

not revive the clause without re-writing it.

Similarly, in *Kolani*, the trial court did not err in “saving” a

covenant not to compete clause by narrowly construing it to merely bar the

misappropriation of confidential customer lists and trade secrets, which would

effectively involve re-writing the clause, in violation of Section 16600.

By contrast, here, to the extent some or all of subdivisions (ii) and/or

(iii) of Paragraph 4(b) of the NDA, proscribing things like “Market studies and

analysis,” “ideas,” and “information” is void for vagueness and/or overbreadth,

those provisions can simply be stricken or disregarded under the plain language

of Section 16600, without disturbing Plaintiff’s claims alleging Defendants’

theft of Plaintiff’s trade secrets and confidential client data.

In sum, the Court overrules Defendants’ demurrer to the first cause of

action for breach of contract.

ii.

Second Cause

of Action – Misappropriation of Trade Secret

The elements of a claim for misappropriation of trade secrets are “(1)

the plaintiff owned a trade secret, (2) the defendant acquired, disclosed, or

used the plaintiff’s trade secret through improper means, and (3) the

defendant’s actions damaged the plaintiff.”

(Sargent Fletcher, Inc. v. Able Corp. (2003) 110 Cal.App.4th

1658, 1665.) In addition to the above, Plaintiff alleges:

35. L&S's Client Information constitute

trade secrets as defined by California's Uniform Trade Secrets Act, Civil Code

§§ 3426 - 3426.11.

36. Defendants' actions described above

constitute a misappropriation of trade secrets.

37. As a result of Defendants'

misappropriation of L&S's trade secrets, Defendants have been unjustly

enriched and L&S has sustained damages in an amount to be proven at trial,

which L&S believes to be in excess of \$5 million.

38. On information and belief, Defendants'

misappropriation was willful and malicious, entitling L&S to exemplary

damages and/or attorney's fees pursuant to Civil Code §§ 3426.3(c) and

3426.4.in an amount to be determined at trial or in post-trial proceedings. On

information and belief, Americana's willful and malicious conduct was

authorized or ratified by an officer, director or managing agent of Americana

or performed by an officer, director or managing agent of Americana.

(Complaint

¶¶ 35-38.)

The Court finds that Plaintiff has

alleged each of the elements of a cause of action for misappropriation of trade

secrets.

Defendants argue, however, that

Plaintiff's customers' identities are not trade secrets as a matter of law. In support, the only binding California state

cases Defendants cite to are *Edwards v. Arthur Andersen LLP* (2008) 44

Cal.4th 937, 949-950 (hereafter *Edwards*) and *American Credit Indemnity*

Co. v. Sacks (1989) 213 Cal.App.3d 622 (hereafter *American Credit*). But *Edwards* involved a true

non-compete clause, restraining the employee from obtaining employment in the

same field for a period of 18 months. And

in *American Credit*, the appellate court held that the employer's

customer list was a protectable trade secret and while the former

employee's mere announcement that he was moving to another firm was appropriate,

the employee's solicitation of *American Credit*'s customers' business was a

misappropriation of trade secrets. (*American*

Credit, *supra*, 213 Cal.App.3d at pp. 630-633.)

Thus, the Court declines to sustain

the demurrer on the grounds that Plaintiff's customers' data is not a trade secret,

and Defendants' use of such data is not misappropriation of trade secrets.

Defendants also argue that the

allegations that Nussbaum emailed two files to himself containing purported

trade secrets is insufficient to demonstrate that Defendants used, disclosed,

or received the purportedly trade secret information to establish a misappropriation. The Court disagrees. By sending the list to his personal Gmail

account, Nussbaum acquired the trade secret information in written form

in his personal capacity.

Yet, Defendants argue that Cypress

Semiconductor Corp. v. Maxim Integrated Products, Inc. (2015) 236

Cal.App.4th 243, 264 stands for the contrary position, that a former employee's

mere possession of purported trade secrets is insufficient to allege

misappropriation. Not so. In Cypress, the Defendant "was

pursuing Cypress employees with the object of extracting trade secrets from

them." Because the Defendant never

successfully hired any of Cypress's employees, "the claim was purely one of threatened

misappropriation." (Ibid.)

By contrast, here, the trade secret

is Plaintiff's client data, which Nussbaum allegedly misappropriated by

emailing them to his personal Gmail account, and which Americana allegedly

received when Nussbaum disclosed them to it.

(See Complaint ¶ 30.)

In all, Plaintiff has adequately

stated a claim for trade secret misappropriation.

CONCLUSION AND ORDER

For the reasons stated, the Court overrules Defendants' demurrer to

the Complaint in its entirety.

Defendants shall file and serve an Answer or Answers to the Complaint

on or before July 9, 2026.

Further, on the Court's own motion due to the Court's impacted calendar/docket,

the Court reschedules the hearing on Defendants' Motion for Protective Order

from July 22, 2026 to August 6, 2026 at 8:30 A.M. in Department 207, in

conjunction with the Case Management Conference. All opposition and reply papers concerning

the motion shall be filed and served under Code of Civil Procedure section 1005

in accordance with the new hearing date.

Defendants shall also provide notice of the Court's orders and file the

notice with a proof of service forthwith.

DATED: June 25, 2026 _____/s/_____

Michael

E. Whitaker

Judge

of the Superior Court